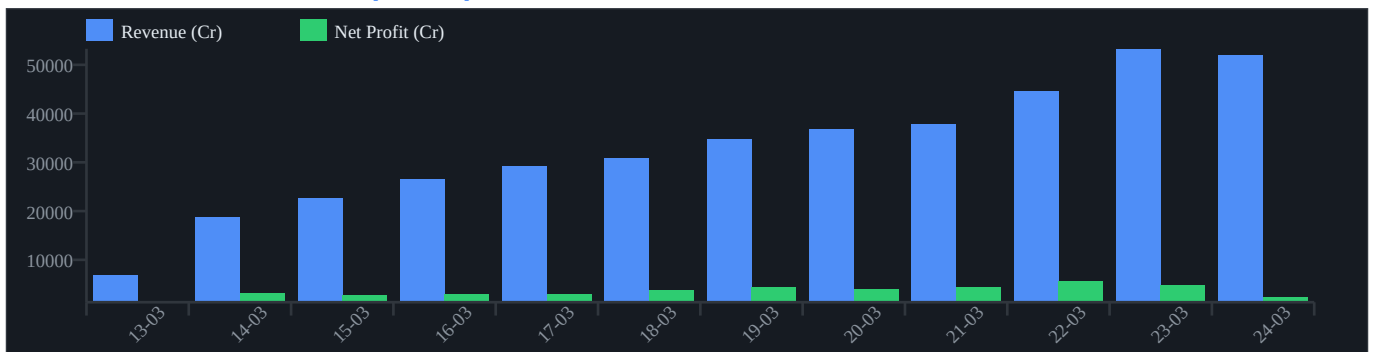


Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

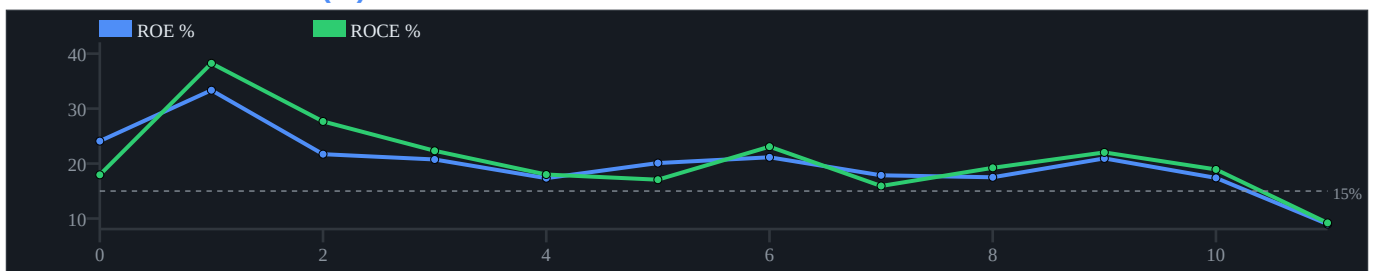
KEY PERFORMANCE INDICATORS

ROE	ROCE	NPM	D/E	Health Score	P/E
9.0%	9.2%	4.6%	0.1	35/100	57.4×
Return on Equity	Return on Capital	Net Profit Margin	Debt / Equity	Composite Score	Price/Earnings 2024
Rev CAGR 5yr	PAT CAGR 5yr	EPS CAGR 5yr	FCF	Health Band	Capex Pattern
8.4%	-11.0%	-11.4%	5058 Cr	Moderate	Reinvestor — ops fun
Revenue Growth	Profit Growth	EPS Growth	Free Cash Flow		Capital Alloc

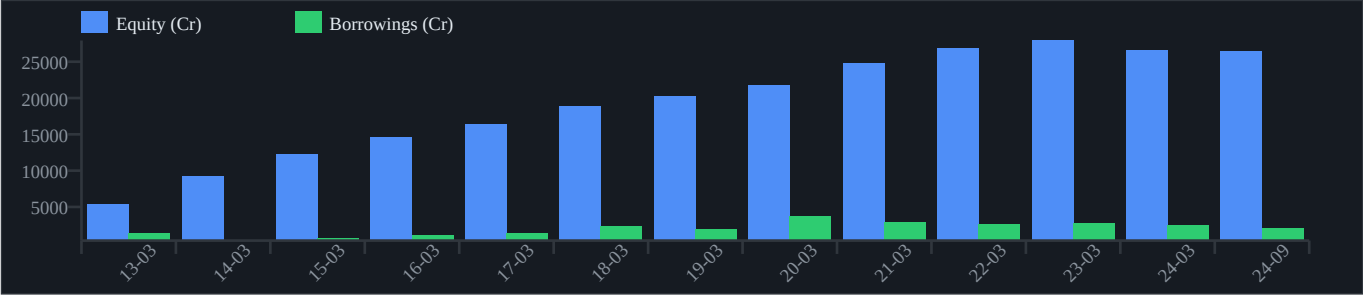
REVENUE & NET PROFIT (Rs. Cr)



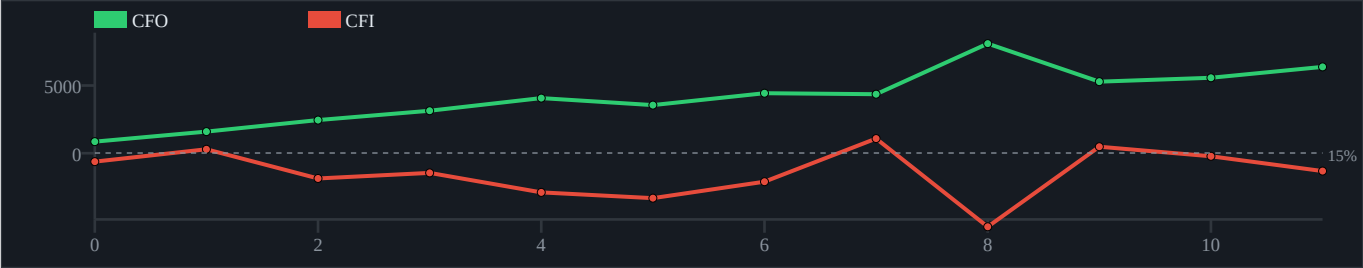
ROE vs ROCE TREND (%)



BALANCE SHEET COMPOSITION (Rs. Cr)



CASH FLOW (Rs. Cr)



FINANCIAL SUMMARY

Metric	Value	Metric	Value
Health Score	35/100	Health Band	Moderate
Asset Turnover	1.2	CFO/PAT Ratio	2.7
CapEx Intensity	2.5%	FCF Conversion	112.3%
Net Debt (Cr)	-701	Capital Pattern	Reinvestor — ops funding growt
Rev CAGR 10yr	10.7%	EPS CAGR 5yr	-11.4%

INVESTMENT INSIGHTS

✓ STRENGTHS	✗ RISKS
• Positive free cash flow of ■ 5058 Cr signals strong cash generation.	• Thin net profit margin of 4.6% leaves limited buffer against revenue shocks.
• Low debt-to-equity of 0.10× reflects conservative financial management.	• ROE of 9.0% is below the 10% threshold, indicating suboptimal capital returns.
• Exceptional interest coverage ratio indicates comfortable debt servicing ability.	• Composite Health Score of 35/100 indicates multiple financial weakness signals.
• CFO/PAT ratio of 2.66× indicates high earnings quality with strong cash conversion.	• Dividend payout of 150% exceeds earnings — may not be sustainable.